Sycamore Square — Feasibility Study: Landlord View (Lease Everything)

Public version · 18 Oct 2026

Summary

> **Every one-time total and earn-back figure here includes buying the property at an assumed price of $3.0M, plus fees, closing costs, surveys and inspections.**

Leasing out the whole building, halls included, still does not pay in the average case. About $15.9M of one-time money, including buying the property at an assumed price of $3.0M plus fees and closing, earns about $623k a year, so it takes about 25.6 years to earn the money back. A typical investment property earns back in about 12 years, and the goal is 10 years or less; not even the best case gets there.

	Worst	Average	Best
Buying the property at an assumed price of $3.0M, with fees and closing	$3.30M	$3.28M	$3.26M
Building work and other one-time costs	$14.86M	$12.64M	$10.90M
All one-time money	**$18.16M**	**$15.92M**	**$14.15M**
Money coming in each year	$1.04M	$1.17M	$1.49M
Money going out each year	$533k	$547k	$559k
Profit each year, before loan payments	**$508k**	**$623k**	**$928k**
Years to earn back the money	**about 36**	**25.6**	**15.3**
Profit each year for every $100 invested	$2.80	$3.91	$6.55

Building costs are at Memphis prices, with the ownership group managing the work and hiring each trade directly instead of one general contractor. Handing the whole job to one contractor would add about $1.8M in the average case and stretch the earn-back to about 28.5 years. The owner-run plans in the Four Development Options doc earn more from the same building, because the owners keep the halls' profit instead of collecting a small rent for them.

What this plan is

This is the lease-everything plan, with the owners acting only as landlord: every space is leased, and the ownership group runs nothing. Each tenant also pays its share of the building's tax, insurance and upkeep. Figures are worst / average / best; the worst and best cases are outcomes that only 1 in 10 simulated futures fall below or beat.

Space	Who rents it	Rent a year	Share leased
Hall A and Hall B, with kitchens and dining (47,730 SF)	An outside hall operator	$2.00 / $2.00 / $6.10 per SF	Whole space
Kids' indoor playground (18,000 SF)	A playground operator	$4.20 / $4.85 / $5.70 per SF	Whole space

Space	Who rents it	Rent a year	Share leased
About 22 small shops (31,500 SF to rent)	Shop tenants	$12.65 / $13.45 / $14.30 per SF	78% / 82% / 86%
Flex space (25,559 SF to rent)	Contractors, showrooms, storage	$7.00 / $7.45 / $7.95 per SF	66% / 74% / 80%
Fuel pad on the Sycamore View frontage	A fuel company builds the station and pays ground rent	$58k / $85k / $110k (allowing for the chance no fuel company signs)	Pad only
Food pad on Summer Ave	A restaurant pays ground rent	$8k / $19k / $36k (a $70k ground lease, weighted by the chance a restaurant signs)	Pad only

The halls are the weak link. At average bookings of 215 events a year and today's Memphis hall prices (about $5,550 per event on average across all days), an outside operator that wants to earn 15% a year on its own fit-out (about $3.3M after the landlord's help) can afford no rent at all. If it accepted 10% a year, it could pay about $2.87 per SF. This study assumes $2.00 per SF, about $95k a year, with the operator taking the space as built. Only in the best case could an operator pay more, about $6.10 per SF ($291k). Run by the owners instead, the same halls make about $625k a year before building costs (see the Operator View).

Money coming in and going out each year

Once the building is leased up, rent from the shops is the biggest single source, and upkeep of the large parking lot is the biggest cost. These are yearly figures for a settled year, before any loan payments.

Each year	Worst	Average	Best
Shop rents	$313k	$350k	$387k
Flex space rents	$118k	$141k	$163k
Kids' center rent	$76k	$87k	$103k
Hall operator rent	$95k	$95k	$291k
Fuel pad ground rent	$58k	$85k	$110k
Food pad ground rent (Summer Ave)	$8k	$19k	$36k
Tenants repay their share of tax, insurance and upkeep	$372k	$392k	$397k
Money coming in	**$1.04M**	**$1.17M**	**$1.49M**
Allowance for empty-space gaps and unpaid rent	$26k	$26k	$31k
Property tax	$126k	$159k	$177k
Insurance, including flood	$102k	$91k	$81k
Upkeep: parking lot, lighting, landscaping, common areas	$198k	$185k	$172k
Property management	$50k	$56k	$69k
Set-aside for roof and AC repairs	$31k	$30k	$29k
Money going out	**$533k**	**$547k**	**$559k**
Profit each year, before loan payments	**$508k**	**$623k**	**$928k**

Property tax follows what the finished property is worth, so it is lowest in the worst case. Today's bill, on the 2026 county appraisal of $4,928,100, is about $104,000 a year.

Money to build it (one-time)

In the average case the building work alone is about $8.4M at Memphis prices, with the ownership group hiring each trade directly. The list below is every one-time item, buying the property included, largest first within each group.

One-time item, average case	Amount
Purchase price (assumed)	$3.00M
Fees, closing costs, surveys and inspections	$276k
Heating and air conditioning	$952k
Restrooms	$795k
Roof	$771k
Removing the 4 hall columns (steel beams)	$748k
Parking lot repair and repaving	$631k
New shop fronts	$572k
Walls between tenants	$552k
New entrances and canopies	$510k
Electrical	$487k
Fire alarm with voice evacuation for large crowds	$468k
Demolition inside the building	$367k
Site work and landscaping	$328k
Outside walls and paint	$328k
Flood compliance	$328k
Sprinklers	$304k
Plumbing	$209k
Stormwater detention	$91k
Building work subtotal	**$8.44M**
Design, permits and contingency for unknowns	$1.66M
Fit-out help for tenants and leasing commissions	$1.92M
Holding costs and loan interest while building (18 months)	$626k
Total one-time money	**$15.92M**

The worst case totals $18.16M and the best case $14.15M. If one general contractor did all the work instead, the average-case total would be about $17.74M. Column removal is carried at about $187k per column, about $0.7M for all four (worst $223k, best $153k each), with the steel fabricator, erector and structural engineer hired directly. Delivered by a general contractor, the same work runs about $275k each, and the closest documented job cost $207k–$480k per column (ProCM, Crossgates Mall). The 1997 drawings show 2 roof columns inside each 11,000 SF hall, and a structural engineer must price the work.

Why the profit is small

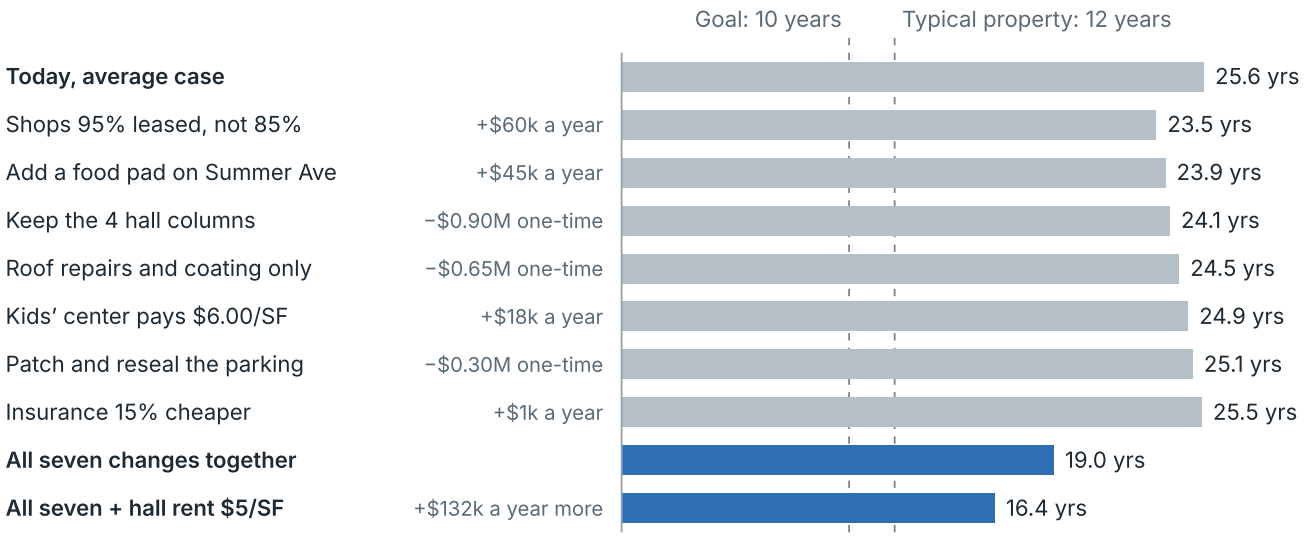
The rents this area pays are too low to carry $12.6M of building work on top of buying the property. To earn back in 12 years, profit would need to be about $1.33M a year, about double today's $623k. Or the one-time money would need to fall to about $7.5M.

- **Rents are small next to the work.** Base rents total about $778k a year: shops $350k, flex $141k, kids' center $87k, halls $95k and fuel pad $85k.
- **The halls take 37% of the building but pay 12% of the rent.** They also carry the $0.7M column removal and about $716k of fit-out help to the operator.
- **Shops cost a lot to create.** New shop fronts and tenant walls cost about $1.1M, plus about $20 per SF of fit-out help. Yet they rent for about $13.45 per SF, deep in the site behind other buildings.
- **Empty space costs money.** In the average case 18% of the shops and 26% of the flex sit empty. The owner pays their share of tax, insurance and upkeep (about $43k a year), plus a $26k allowance for unpaid rent.

Ways to improve it

All seven changes together still take about 19 years to earn back

Years to earn back all one-time money, buying the property included, average case. Shorter is better.



Sycamore Square model v2.5, lease-everything plan, average case, buying the property included, one change at a time · 18 Oct 2026

No single change moves the earn-back by more than about 2 years. All seven together reach about 19 years, and adding a hall operator that pays $5 per SF reaches about 16. Keeping the columns saves the most money ($895k) but leaves 2 columns in each hall.

Risks

The two biggest swings are the building's condition and whether anyone pays rent for the halls and the fuel pad. Each row says what it does to the average case and how to check it before any binding commitment.

Risk	What it does	How to check
Flood level at the rear truck docks (likely manageable)	The ground along about 85% of the walls is 2–4 ft above FEMA's 248 ft flood level, at or above the City's 250 ft floor rule; the only low ground (247.7–248.8 ft) is at the rear truck docks, which are normally built lower than the floor. If a survey confirms the floor at 250 ft or higher, flood work is mainly materials and equipment in the dock area (about $0.3M in the average case, budgeted). Only a floor below 250 ft would push it toward the top of its range, about $0.85M, and raise insurance. Flood insurance, about $25k a year in the average case, is already in the yearly costs.	Elevation certificate and survey
Roof, air conditioning or other systems worse than assumed	Building work rises from $8.4M toward the worst case, $10.1M	Site visit with a roofer, an HVAC contractor and an electrician
Removing the hall columns is harder	At $223k per column, about $0.1M more	Structural engineer on site
The work goes to one general contractor	The one-time money rises about $1.8M; earn-back stretches to about 28 years	Price each trade on its own; keep one owner's representative on site
Big crowds trigger earthquake upgrades	Under the 2021 building code, a building whose assembly rooms of more than 300 people add up to more than 2,500 occupants moves to a higher safety class ("Risk Category III"). In Memphis that can require earthquake strengthening of the existing building, which could cost more than the column work. Seated at tables, the two halls hold about 1,470 and stay under the line; chairs-only seating (about 3,140) would not.	Cap the posted capacity; confirm with the City and a structural engineer
No hall operator signs, or one pays nothing	Profit falls to about $538k a year; earn-back stretches to about 29 years	Talk to two or three hall operators and caterers
Fuel pad not leased, or the frontage parcel split from the site	Same effect: about $547k a year and about 29 years. At average volumes a fuel company earns only about $4 a year per $100 it spends to build, so a deal is not assured.	Confirm all four parcels stay together; ask fuel operators
Shops and flex lease slowly	At 70% of shops and 50% of flex leased, profit falls to about $505k a year; earn-back stretches to about 31 years	A local leasing broker's view of rents and timing

Assumptions and sources

These are planning numbers from public data, not contractor quotes, surveys or signed leases. Sources were opened on 18 October 2026.

- **Buying the property.** Every number includes buying the property at an assumed price of $3.0M in every case, plus fees, closing costs, surveys and inspections (about $3.28M in the average case). The price is a planning assumption only.
- **Site.** Four parcels total 11.72 ac on the county assessor's records, matching the broker; the county GIS lines sum to about 11.88 ac, and a survey settles it. The building is 127,634 SF (broker) or 125,235 SF (assessor), built 1984. The 2026 appraisal is $4,928,100 (Shelby County Assessor).
- **Shop and flex rents.** Memphis retail asking rent averages $14.20 with about 5% vacancy in 2026 (Marcus & Millichap via REBusiness). Big-store vacancy rose with furniture move-outs and the IKEA Cordova closing (Marcus & Millichap 3Q26). Nearby, 6343 Summer Ave asks $14.40 per SF modified gross, meaning the rent already includes some building costs. Shelby Crossing II asks $10–11 per SF plus $3.68 of tax, insurance and upkeep. Flex averages $7.49 per SF in Memphis and $10.50 in the Northeast area (Cushman & Wakefield Q3 2026).

- **Kids' playground.** Kids Empire's franchise disclosure puts the cost to open 15,000+ SF at $803,750–$1,765,000 (Franzy).
- **Fuel pad.** Ground rent of about $80k–$130k a year from a regional operator, or $150k–$200k from a national brand, is a planning judgment. One comparison is Murphy USA in Murfreesboro at $200k a year.
- **Building costs.** Unit costs come from national price guides, converted to Memphis prices (RSMeans 2025 city cost index 89.4, RSMeans Q4 2025) and to the ownership group managing the work and hiring each trade directly. A general contractor adds about 11–22% for general conditions, overhead and profit (RSMeans model costs, Construction Executive); this study plans on a net saving of about 12% (9% worst, 14% best) and keeps the full cushion for surprises, because managing the trades moves coordination risk to the owners. Design, engineering and permits are 8% / 7% / 7% of the building work. Code items (sprinklers, voice evacuation, restroom counts, structural engineering) stay in full. Every figure is to be replaced by contractor quotes:
  - TPO roofs at $4.50–16 per SF (Fixr); silicone coating over a sound roof at $2–4 per SF (Construction Specifier)
  - rooftop AC replacement priced per ton (Oxmaint, PickHVAC)
  - fire alarms (Safe and Sound) and storefronts (LatestCost)
  - parking resurfacing (Wright Construction)
  - fit-out help of $15–35 per SF for used retail space (Terrapin)
  - contingency for incomplete plans (ConstructConnect)
  - costs rising about 5.2% a year (Turner via Construction Dive)
- **Columns.** The 1997 Sitel tenant drawings (sheets A2.1 and A2.2) note 24-inch column covers at 15 locations in Area A, on a grid of about 44.5 ft. Only the 2 columns in the middle of each hall come out. Removal is carried at $187k per column (worst $223k, best $153k): the column research's cost build-up without a general contractor's fee, at Memphis prices. Delivered by a general contractor, the middle estimate is $275k each. The closest documented job cost $207k–$480k per column (ProCM, Crossgates Mall). A structural engineer must price it.
- **Building code.** The 2021 IBC puts a building in Risk Category III when its assembly rooms of more than 300 people add up to more than 2,500 occupants (STRUCTURE magazine). Memphis sits near faults capable of major earthquakes (USGS).
- **Flood.** FEMA flood map panel 47157C0311G (effective 6 February 2013) puts about 74% of the building in Zone AE, with a flood level of 248 ft (FEMA flood map service). Ground heights come from USGS 1 m lidar flown in 2017 (USGS).
- **Tax.** The rate is $2.58081 city plus $2.70 county per $100 of assessed value, assessed at 40% of appraisal (Daily Memphian, Tri-State Defender).
- **Insurance.** The allowance is $0.40–0.65 per SF plus flood cover. Federal flood insurance covers at most $500k of building and $500k of contents (FEMA guide). Get broker quotes.
- **Hall operator rent.** This comes from the Operator View: 215 events a year in the average case at researched Memphis hall prices, and an operator wanting 10–15% a year on its own fit-out.
- **Loans and lease-up.** The numbers come before any loan payments, so they hold however much of the money is borrowed. A bank typically lends 55–65% of the cost, and its payments would cut the cash left each year (CRE loan rates 2026). No Memphis data was found on how fast redeveloped centers lease up, so this study assumes 2–3 years.